

APIS INDIA LIMITED

Loan and Advance Policy

1.0 Objective:

1.1 The objective is to facilitate employees monetarily in meeting emergencies like marriage, hospitalization, mishap in the family or shifting of house etc. as a welfare measure. Merely eligibility of employee does not bound the organization for disbursement of loan amount it solely depends on the discretion of the management.

2.0 Definitions:

2.1 Loan: An arrangement in which an Organization gives financial assistance to an employee and the employee agrees to return the amount at some future point(s) in time. Usually, there is a predetermined time for repaying a loan.

3.0 Types of Loans: The organization gives different types of loans to its employees they are for:

3.1 Marriage

3.2 Hospitalization

3.3 Mishap

3.4 Children/Self Education

3.5 House Purchase / House Construction

3.6 Salary Advance

4.0 Eligibility: An employee can avail the above mentioned loans from the organization if he /she satisfies the below mentioned criteria:

4.1 Marriage: This loan can be availed by employees for marriage of Self or Marriage of dependent wards. In the case of self-marriage, the employees will get 3 months' salary as the loan amount. This will be recovered from them in 10 monthly equal monthly installments. They have to submit the wedding card as proof along with their loan application. Sanctioning authority will be Head Human Resources and the loan recommendation should come from the head of the department. The employees should have minimum of one year of service with the organization for applying for the loan.

In the case of Marriage of brother, sister or wards the employees will get 3 months' salary and the recovery will be done in 10 months of equal installments. Wedding card needs to be submitted along with the application. In this case the Head of the Department will forward the application with recommendation to Human Resources department for Head-HR's approval.

The employees who have at least one year of service with the organization is eligible for this loan.

4.2 Hospitalization: In the case of hospitalization of spouse or self for more than one week the employees need to submit the admit card from a government / registered hospital. The loan amount is 3 months' salary. In case the assistance required is more than above limit or for larger duration then it will require Director's Approval otherwise it will be approved by Head (HR).

4.3 Mishap: Mishap can be of different types like Death in the family of spouse or dependent ward, any natural calamity etc. In case of death the employees can avail this loan with a Loan amount of 3 months' salary. The amount will be recovered in 10 months. The sanctioning authority is the Head Human Resources. Employees with 6-month service can avail this loan.

In case of a natural calamity also the employees will get 2 months' salary. This will be recovered in 10 monthly equal monthly installments. The sanctioning authority will be the Head Human resources.

Children/Self Education: In order to encourage higher education an employee can request a loan for himself or for his ward up to 3 months of salary at the time of admission in any professional course leading to graduation/post-graduation degree. Copy of demand letter from the institution should be submitted along with the request. The amount shall be recovered within 10 months in equal installments. Employee with one year of service can avail this loan facility. Approving authority would be Head Human Resource on recommendation of Head of Department.

4.4 House purchase / House Construction: Employee can avail this loan after a working tenure of 1 years for home construction and home loan. An employee can request a loan up to 3 months of his/her salary. The amount will be recoverable within 10 months.

4.5 Salary Advance: An employee can avail this benefit within a working tenure of 3 months. He/ She can request 80% of his salary as salary advance once in a three month. It will be recoverable within same month.

Sr.no	Type	No. Of Days of Salary	Recovery Period	Eligibility Criteria (Years of service)
1.	Marriage: Self, Son, Daughter	3 months	10 months	1 Year
	Brother, Sister	3 months	10 months	1 Year
2.	Hospitalization: More than 1 week	3 months	10 months	1 Year
3.	Mishap:			
	Death in family	3 months	10 months	1 Year
	Natural Calamity	2 months	10 months	1 Year
4.	Children/Self Education (professional course)	3 months	10 months	1 year
5.	Home/ Construction Loan	3 months	10 months	1 year
6.	Salary Advance	80% of salary	1 month	3 month and will be processed After 20 th

6.0 An employee can avail one loan at one time. Second loan cannot be taken if the previous loan is pending.

7.0 Applications shall be submitted in Loan and Advance form.

8.0 Loan receipt shall be given by employee while drawing loan in Receipt from (annexure 1) in duplicate.

9.0 Company will charge interest rate of 8% annually on all sanctioned amount except salary advance.

10.0 In any case loan amount cannot exceed 3 lakhs.

Note:

- a)** All the application shall be submitted in time (para 5.0) for recommendation of head of department before sending to Human Resource Department.
- b)** Only one loan can be availed at a time. i.e., 2nd loan can be taken only after repayment of existing loan to fully done.
- c)** Application shall be submitted in Loan and Advance form.
- d)** In case the employee does not meet eligibility criteria then a surety of fellow employee who is of same level or higher and fulfills the criteria would be necessary.

EXECUTION

The revisions in the policy will come into effect from 14 May 2022 for APIS India Limited.

Head –HR & Admin.

Managing Director

